Satish 06 2023

Originator: Spandana Sphoorty Financial Limited

August 19, 2024

Instrument	Amount (₹ crore)@	Balance Tenure (months)*	Credit Enhancement (₹ crore)		Rating[1]	Rating Action
			Cash Collateral	Over Collateral		
Series A1 PTCs	23.80	8	9.08	16.12	CARE AA- (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1
@After July 2024 payout.
*Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has reaffirmed the rating of Series A1 PTCs issued by Satish 06 2023, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA- (SO)' [pronounced as Double A Minus (Structured Obligation)].

The reaffirmation in the rating is primarily based on the performance of the underlying loans over the past 12 months post-securitisation, the robust legal structure, the well-defined payment mechanism, the significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), the subordination of excess interest spread (EIS), the servicing capability and overall performance of SSFL.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD) of <2% coupled with the sustained high collection efficiency (cumulative collection efficiency of >98%).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of >5% coupled with the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Deterioration in the credit profile of the originator.
- Any utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The rating reaffirmation is based on inter alia, observed & expected performance of pool, presence of credit enhancement and adherence to the transaction structure.

Pool Performance Summary:
The pool has amortised by 65.94% in twelve months post-securitisation, with nil utilisation of CC. The pool has exhibited low delinquencies. As on July 2024, overdue (OD) (as a percentage of the initial principal outstanding [POS]) is 0.93%. The credit enhancement (CE) available is sufficient to sustain the ratings for the balance tenure.

[1]Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications.

Pool summary (as of July-24 payout)	
Months post-securitisation	12
Pool amortisation	65.94%
30+ delinquency (percentage of the initial pool POS)	2.66%
90+ delinquency (percentage of the initial pool POS)	1.56%
Overdue amount (percentage of the initial pool POS)	0.93%
Cumulative Collection Efficiency [CCE]	98.58%
CC (percentage of the balance PTC POS)	38.17%
Cumulative prepayments	12.32%

Detailed description of the key rating drivers

Key strengths:

- CC as a percentage of PTC POS is 38.17%, which remains unutilised, and OC, which is 67.71% of PTC POS.
- The pool has performed on expected lines for 12 months (post-securitisation) and has amortised around 66%.
- Well-defined payment mechanism and adherence to the transaction structure.
- The 90+ DPD and OD, as a % of initial pool POS, were low in the pool is low at 1.56% and 0.93%, respectively.

Key weakness:

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of any delinquency, the payouts are expected to be supported by credit enhancement consisting of cash collateral, principal subordination in the form of over collateral and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering the borrower profile and the nature of the loan, the pool characteristics and the portfolio performance, CARE Ratings has taken the average shortfall from 7.00% to 9.00% of the principal outstanding. The base case shortfalls were stressed along with other key factors such as the timing of shortfalls, the recovery assumptions, and the time to recovery. CARE Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming a monthly prepayments in the range of 0.50%-1.00%.

Applicable criteria

Policy on Default Recognition
CARE Ratings' methodology for asset/mortgage-backed securitisation

About the company and industry

Industry classification

Macro-economic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

Spandana Sphoorty Financial Limited (SSFL) was incorporated on March 10, 2003, under the provisions of the Companies Act, 1956. It was registered as on non-deposit accepting NBFC with the Reserve Bank of India and was classified as an NBFC-MFI effective April 13, 2015. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, as well as the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, but the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of 8 to 12 members.

Key financial indicators - SSFL

Brief financials	FY22 (A)	FY23 (A)	FY24 (A)
Total income (₹ crore)	1,392	1,394	2,407
PAT (₹ crore)	47	12	468
Total assets (₹ crore)	5,264	9,186	12,870
Net NPA (%)	6.78	0.58	0.29
ROTA (%)	0.68	0.15	4.24

A: Audited; Note: 'the above results are latest financial results available'.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass Through Certificates	-	30-06-2023	10.00%	17-03-2025	23.80	CARE AA- (SO)

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass Through Certificates	LT	23.80	CARE AA- (SO)	-	1)CARE AA- (SO) (29-Aug-23) 2)Provisional CARE AA- (SO) (27-Jun-23)	-	-

LT- Long term

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

Annexure-4: Complexity level of the various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass Through Certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

Media Contact	Analytical Contacts
Name: Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Name: Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Name: Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Name: Sriram Rajagopalan Director **CARE Ratings Limited** Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Ashwin Gambhir Associate Director **CARE Ratings Limited** Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in

About us:
Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

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